Propylene (Asia)

By Joy Foo, Doris He, Joey Zhou & Catherine Tan

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Market overview

AS OF 9 OCT 2026

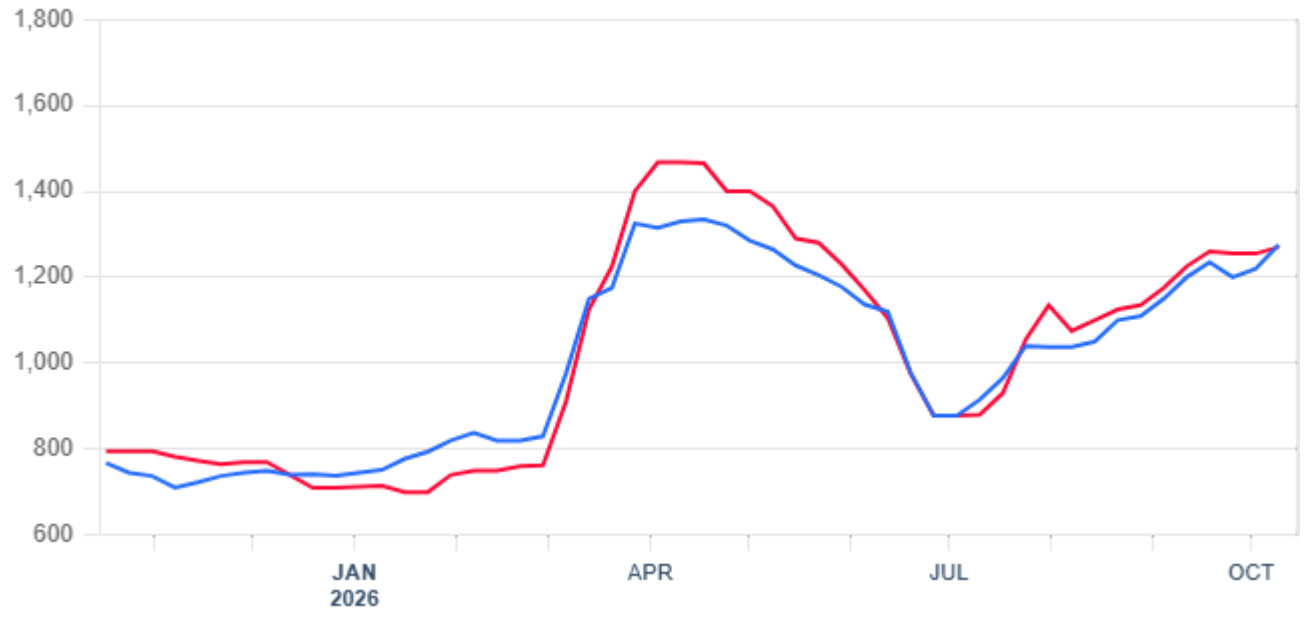
Highlights

Markets are changing fast, so we'll be enhancing your services with simpler navigation, real-time updates, and smarter data visualisation to help you respond with confidence. Soon, you'll see new commodity pages with the same insight you rely on - now easier to navigate and act on. Learn more about what is changing here. Additionally, ICIS will transition its exchange rate provider to the London Stock Exchange Group (LSEG). For more details on this, click here.

- NE Asia continues to rally as cost pressures mount
- Tight supply due to lower PDH run rates in China offset emerging merchant volumes
- SE Asia remains supply-driven on November short covering, but downstream resistance limits upside

Propylene

USD/mt



Market commentary

The average price of northeast Asia propylene (C3) imports continued to rise after China returned from the National Day holiday, tracking gains in crude oil and China's domestic market.

China's domestic market continued to act as the bellwether for the import market, given the country's position as the region's key demand center.

Crude prices resumed their upward trend from Wednesday and remained firm following the holiday in China, amid renewed supply concerns after fresh Iranian strikes on shipping and despite earlier bearish signals from stronger crude flows from the Middle East.

Buying and selling indications in northeast Asia moved higher as producers faced mounting cost pressures.

Tighter domestic supply in China also supported the rally, with run rates at propane dehydrogenation (PDH) units under pressure from squeezed margins. This outweighed resistance from downstream sectors such as the oxo-alcohol markets, where prices were weaker despite the firmer costs. Although polypropylene (PP) prices in China firmed, the propylene-PP spread stood at an unhealthy level.

In the FOB NE Asia market, a South Korean producer sold one November-loading cargo at a firmer level than transactions for October-loading cargoes. The elevated level suggests that regional supply fundamentals remain relatively tight despite the emergence of fresh spot availability.

More South Korean cargoes are expected to emerge, with producers heard considering additional spot sales amid downstream turnarounds and weak PP economics. A similar situation had prompted the sale of around 30,000 tonnes of October-loading cargoes.

Taiwan-origin cargoes are also expected to emerge.

In southeast Asia, demand was seen from Thailand for November shipments amid an anticipated loss in output from the upcoming turnaround at Map Ta Phut Olefins' (MOC) cracker.

Meanwhile, Thailand's PTT Global Chemical (PTTGC) sold an H2 October-loading cargo.

Buying sentiment in southeast Asia, however, was capped by a limited improvement in the PP market. Although views about the supply balance for H2 October to November remained mixed, spot availability was generally limited.

There is also continued uncertainty about potential November volumes from a key Malaysian merchant seller. The producer was heard to have an upcoming turnaround at an upstream unit, although this could not be confirmed.

Outlook

- Supply tightness likely to continue to drive the market despite the emergence of NE Asia spot volumes
- Cautious buying sentiment to persist amid upstream volatility
- SE Asia November balance remains tight, but derivative cost pass-through to limit buying appetite

Forecast

AS OF 13 OCT 2026

Highlights

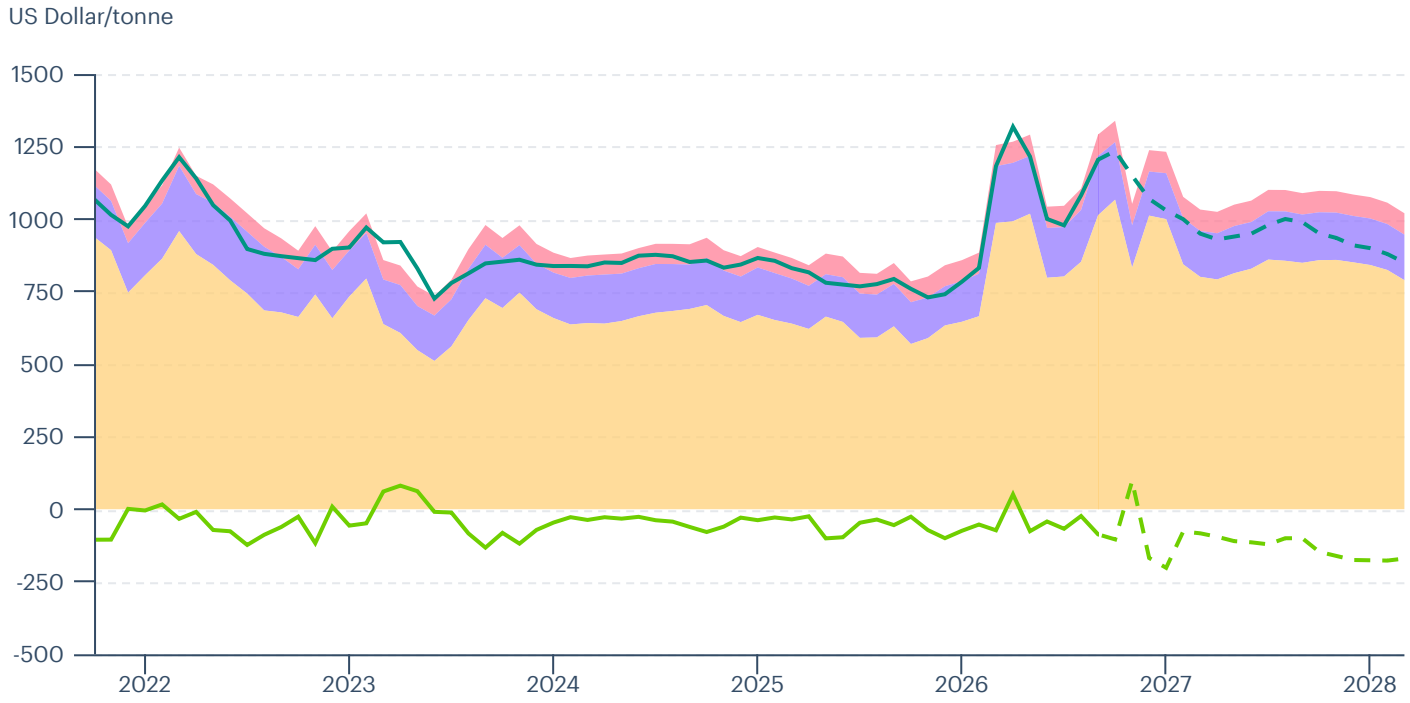
- Asian propylene price forecasts have been raised for October 2026 to February 2027, reflecting slower supply recovery and demand resilience.
- Low inventories, softer cracker operating rates and deteriorating PDH and MTO economics are expected to constrain regional propylene supply in Q4 2026.
- Near-term supply tightness will support prices, but capacity expansion is expected to reshape the regional balance and renew downward pressure over the medium to long term.

Fundamentals

Propylene NE Asia CFR weekly

OCT 2026	NOV 2026	DEC 2026	JAN 2027	FEB 2027
1,235	1,150 ▼	1,070 ▼	1,030 ▼	1,000 ▼
	-85 (-6.9%)	-80 (-7%)	-40 (-3.7%)	-30 (-2.9%)

Propylene CFR Asia NE Spot 2-6 Weeks USD/mt Week. Deltas show intra-month changes



- Fixed costs
- Utility costs
- Raw material costs
- Propylene NE Asia CFR weekly
- Cash margins

Note:

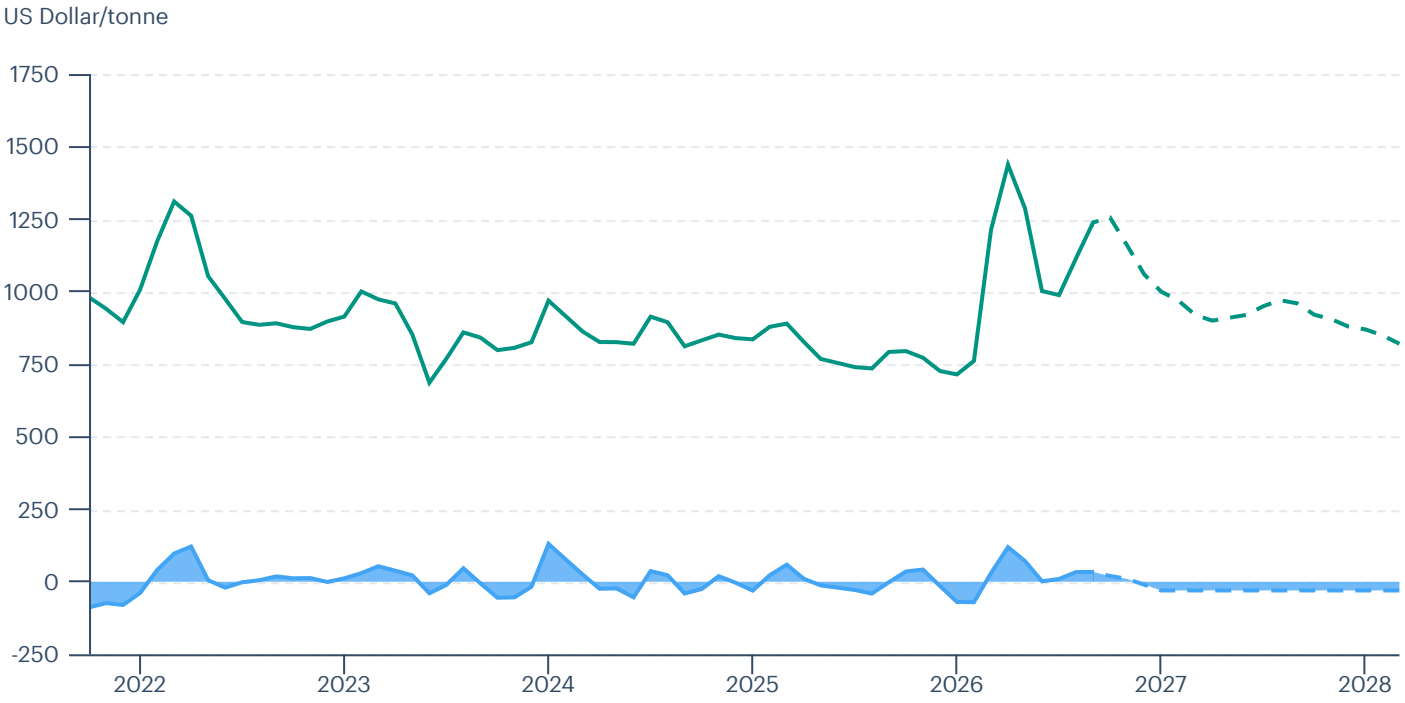
a. Cost calculation based on a PDH unit.

b.Frequency conversion logic for historical prices converts weekly assessed prices into a monthly average by valuing all days within the calendar month, rather than averaging weekly prices. See methodology link, above, for more.

Propylene SE Asia CFR weekly

OCT 2026	NOV 2026	DEC 2026	JAN 2027	FEB 2027
1,255	1,160 ▼	1,060 ▼	1,000 ▼	970 ▼
	-95 (-7.6%)	-100 (-8.6%)	-60 (-5.7%)	-30 (-3%)

Propylene CFR Asia SE Spot 2-6 Weeks USD/mt Week. Deltas show intra-month changes

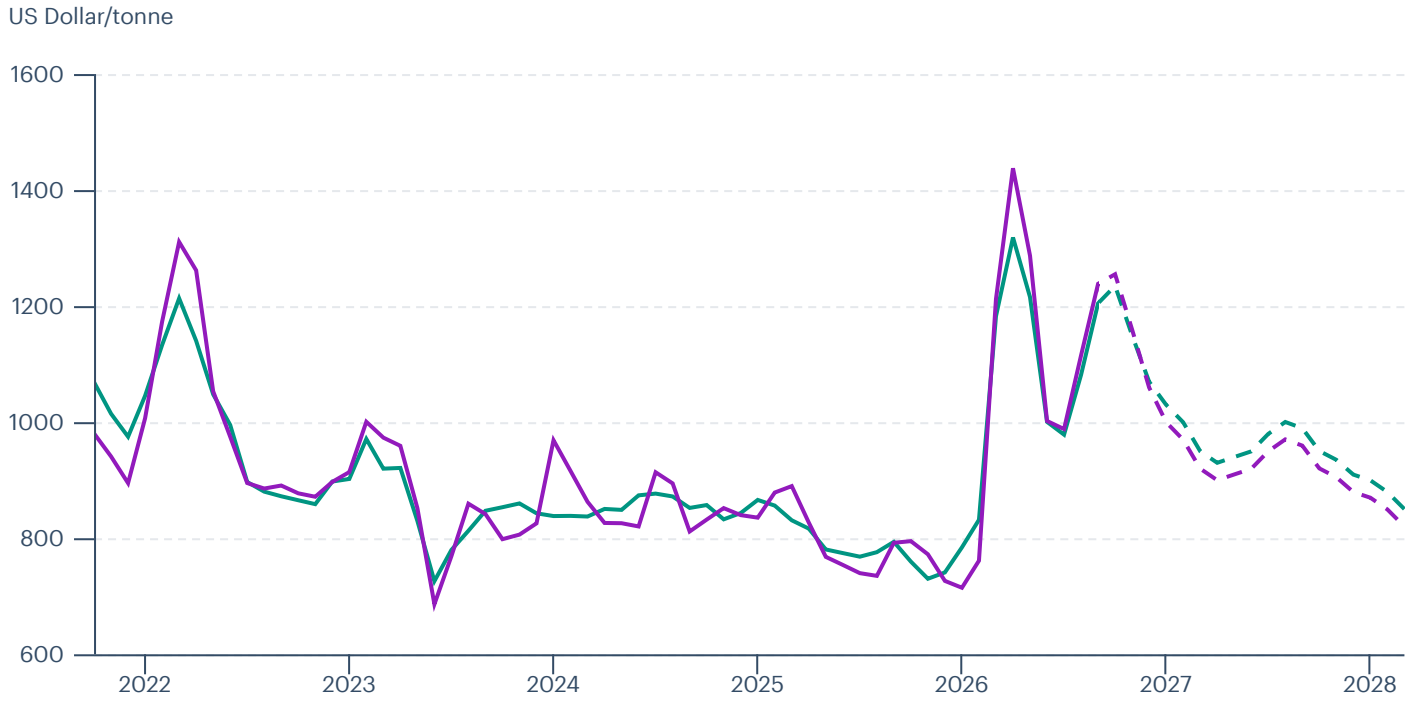


Note:

a. Chart shows the spread of the SEA propylene price over NEA propylene.

b. Frequency conversion logic for historical prices converts weekly assessed prices into a monthly average by valuing all days within the calendar month, rather than averaging weekly prices. See methodology link, above, for more.

Price overview



Propylene NE Asia CFR weekly

Propylene SE Asia CFR weekly

Forecast analysis

Outlook

In our latest forecast update, we have revised our Asian propylene price forecasts higher for the period October 2026 to February 2027, while forecasts from March 2027 onwards remain largely unchanged. Although we continue to expect geopolitical tensions to gradually ease over the coming months, the Asian propylene market has emerged from six months of supply disruptions with a tighter supply-demand balance than previously anticipated. This upward revision primarily reflects changes in propylene market fundamentals rather than feedstock-driven cost support.

From a near-term perspective, the Asian propylene market is expected to remain firm through October. Higher feedstock costs, maintenance turnarounds and unplanned production losses at crackers in South Korea, Taiwan and southeast Asia continue to constrain spot availability. At the same time, persistent pressure on PDH margins is dampening expectations for future supply growth.

From November onwards, propylene prices are expected to soften alongside declines in crude oil, naphtha and propane prices. However, the correction is likely to be less pronounced than the decline in feedstock values, as the pace of supply recovery remains slow and market fundamentals are expected to continue providing support.

We believe the defining characteristic of the current market is low inventories and sluggish supply recovery. After six months of continuous supply disruptions, Asian propylene inventories remain at relatively low levels, leaving the market highly sensitive to any further supply interruptions. Meanwhile, Asian cracker operating rates continue to be constrained by changes in feedstock availability and economics, while the PDH sector remains exposed to feedstock supply volatility. As a result, regional supply recovery has been slower than previously expected.

In addition, the repeated postponement of several new cracker projects in China and South Korea has further weakened expectations for near-term supply growth. Against a backdrop of low inventories, this is likely to keep regional market sensitivity to supply disruptions elevated.

In southeast Asia, the tightening regional propylene balance is expected to widen the propylene-naphtha spread through the end of the year, providing some co-product credit relief for naphtha steam crackers that have faced margin pressure for most of 2026 because of the US-Iran conflict. However, we view this improvement as more of a temporary, supply-driven recovery than the beginning of a sustained improvement in cracker profitability.

Downstream demand has proven more resilient than previously expected. Following extensive production adjustments over the past six months, further demand erosion appears limited, allowing demand to continue providing relatively stable support to the propylene market despite weak derivative margins.

The combination of constrained supply and resilient demand is therefore expected to keep Asian propylene prices above our previous forecasts.

That said, we believe the current tightness is primarily the result of delayed supply recovery rather than a structural shift in the longer-term supply-demand balance.

Looking further ahead, Asia is still expected to enter a new cycle of capacity expansion. Several major new steam crackers, including China's SABIC Gulei and Huajin Aramco projects and South Korea's S-Oil project, are expected to come onstream between late 2026 and 2027, bringing an additional 2.49 million tonnes/year of propylene capacity. While a volatile feedstock environment may continue to affect start-up timing and operating rates, the overall direction of future supply growth remains largely unchanged.

As a result, although the market is receiving additional support in the short term from constrained supply and low inventories, we continue to expect medium- to long-term propylene prices to come under downward pressure as new capacity is gradually introduced and feedstock prices normalize at lower levels.

ICIS plans to release the next two updates by:

- Forecast with highlights: 21 October 2026
- Forecast with all content updated: 6 November 2026

Price drivers

Asian propylene supply is expected to remain constrained as cracker operating rates continue to soften. Asian cracker run rates are forecast to edge down to 74% in October from September levels, as maintenance at LG Chem, KPIC, and Formosa progressively tighten propylene availability. While margins are expected to narrow, the ongoing impact of these turnarounds, coupled with the planned shutdown of Map Ta Phut Olefins' cracker in Thailand from November, is likely to prevent a meaningful recovery in Asian cracker operating rates next month, limiting any rebound in regional propylene supply.

High feedstock costs and deteriorating PDH economics are expected to cap propylene supply growth through Q4. Winter LPG stock building in the US is expected to reduce export availability, while the strengthening El Nino weather pattern may further disrupt Panama Canal transit efficiency, supporting winter propane import prices into Asia. With PDH margins under increasing pressure, operating incentives are likely to weaken further, constraining PDH run rates and limiting propylene output.

Regional supply in southeast Asia is expected to remain tight through early 2027. The planned turnaround at MOC's Rayong cracker is likely to increase spot buying interest from November, while the restart of Pertamina's RFCC unit has been pushed back again to H1 2027. Although Rayong Olefins has resumed operations following a six-month shutdown, the recovery is unlikely to materially ease the regional balance. Consequently, supply growth is expected to remain limited, supporting southeast Asian propylene prices and regional market fundamentals.

Lighter feedstock usage is increasingly reshaping Asia's long-term propylene supply balance. Wanhua Chemical's No 2 cracker, with 500,000 tonnes/year of propylene capacity, shut down for a feedstock conversion project. Following the revamp, the unit will switch from a naphtha/ethane feed slate to ethane-based operations and is expected to produce little to no propylene by 2027. In addition, Sanjiang Chemical, SECCO, and Formosa plan to increase ethane feedstock usage from 2027, which is expected to further reduce propylene co-product output across the region.

Deepening MTO losses are likely to trigger further run-rate reduction and tighten propylene supply. Methanol import availability remains constrained by shipping disruptions through the Strait of Hormuz, pushing China's imported methanol prices up by nearly 40% from early September levels as of 10 October. As MTO economics deteriorates rapidly, operating rates are expected to fall further, potentially reaching record lows and reducing propylene production from the MTO sector.

Weak downstream profitability continues to weigh on propylene demand, although supply-side constraints remain the dominant market driver. Apart from the oxo-alcohol chain, margins for most propylene derivatives remain under pressure. Several acrylonitrile, phenol-acetone, and polypropylene units across Asia have either shut down or reduced operating

rates, lowering propylene procurement requirements, while some producers have even returned to the merchant propylene market as sellers. Nevertheless, ongoing supply constraints are expected to keep market fundamentals primarily driven by the supply side.

Production cost

Click here for our underlying crude oil, naphtha and LPG forecasts

Propylene production costs are expected to remain elevated in October, supported by firm propane prices and relatively high crude oil values. Winter LPG stock building in the US is expected to peak between October and January, while ongoing disruptions to Middle East trade routes and reduced Panama Canal transit efficiency linked to strengthening El Nino conditions continue to support Asian propane import costs.

Looking ahead, feedstock costs are expected to gradually ease from November 2026, with a more visible normalization in crude oil and naphtha prices likely during H1 2027. However, LPG values are expected to remain relatively firm throughout the winter season. As a result, production costs are likely to decline only gradually. As new merchant propylene supply gradually enters the market during late 2027, competitive pressure on producers is expected to increase, limiting recovery margin and contributing to a broader market rebalancing.

Economic outlook

China's exports were up roughly 25% in August year on year and serve as the primary growth engine. This has aided industrial production resilience. This is especially true in high-tech industries, but activity remains mixed in other industries. Domestic demand reflects deep consumer caution, soft light-vehicle and other retail sales, fixed-asset investment, and property prices. Sluggish domestic demand has kept consumer and producer prices low, straining corporate profit margins. We still expect China's GDP growth to slow to 4.5% this year, further decelerating in 2027 and 2028. The AI build-out strongly supports the export of semiconductors and other high-tech equipment from Japan.

We expect economic growth in Japan to slow to a 0.7% gain this year, followed by similar growth in 2027 and 2028. Economic growth in South Korea and Taiwan will be very strong. Elsewhere in the region, India's growth remains resilient and economic growth in other parts of Asia has also held up.

By **Kevin Swift**, senior economist, ICIS

Prices

AS OF 14 OCT 2026

Spot prices - daily

Name	Unit	Low change	Low price	High price	High change	Mid price	Mid change	Frequency	Published
Propylene CFR Asia SE Spot	USD/mt	0 (0%)	1,250	1,300	0 (0%)	1,275	0 (0%)	Daily	14 Oct 2026
Propylene CFR Asia NE Spot	USD/mt	0 (0%)	1,320	1,370	0 (0%)	1,345	0 (0%)	Daily	14 Oct 2026
Propylene FOB Asia NE Spot	USD/mt	0 (0%)	1,285	1,330	0 (0%)	1,307.5	0 (0%)	Daily	14 Oct 2026
Propylene Ex-Tank Shandong Spot	CNY/mt	0 (0%)	10,700	10,720 ▲	+20 (+0.19%)	10,710 ▲	+10 (+0.09%)	Daily	14 Oct 2026

Spot prices - weekly

Name	Unit	Low change	Low price	High price	High change	Mid price	Mid change	Frequency	Published
Propylene CFR Asia NE Spot	USD/mt	+50 (+4.17%)	1,250 ▲	1,300 ▲	+60 (+4.84%)	1,275 ▲	+55 (+4.51%)	Weekly	09 Oct 2026
Propylene CFR China Main Ports Spot	USD/mt	+50 (+4.17%)	1,250 ▲	1,300 ▲	+60 (+4.84%)	1,275 ▲	+55 (+4.51%)	Weekly	09 Oct 2026
Propylene CFR Asia SE Spot	USD/mt	+20 (+1.63%)	1,250 ▲	1,290 ▲	+10 (+0.78%)	1,270 ▲	+15 (+1.2%)	Weekly	09 Oct 2026
Propylene FOB Asia NE Spot	USD/mt	+50 (+4.31%)	1,210 ▲	1,260 ▲	+60 (+5%)	1,235 ▲	+55 (+4.66%)	Weekly	09 Oct 2026
Propylene FOB South Korea Spot	USD/mt	+50 (+4.31%)	1,210 ▲	1,260 ▲	+60 (+5%)	1,235 ▲	+55 (+4.66%)	Weekly	09 Oct 2026
Propylene FOB Asia SE Spot	USD/mt	+20 (+1.75%)	1,160 ▲	1,180 ▲	+10 (+0.85%)	1,170 ▲	+15 (+1.3%)	Weekly	09 Oct 2026
Propylene Ex-Tank Shandong Spot	CNY/mt	+280 (+2.89%)	9,980 ▲	10,350 ▲	+480 (+4.86%)	10,165 ▲	+380 (+3.88%)	Weekly	09 Oct 2026
Propylene Ex-Tank China E Spot	CNY/mt	+300 (+3.09%)	10,000 ▲	10,400 ▲	+500 (+5.05%)	10,200 ▲	+400 (+4.08%)	Weekly	09 Oct 2026

Pricing commentary

Daily

CFR NE Asia prices were unchanged amid some rangebound indicative prices, as the fixed-price buy-sell gap remained wide, while formula-based discussions continued to be preferred.

Buy indications were at $1,320-1,340/tonne during the day, while sell indications were at $1,380-1,400/tonne. Market sources said a transaction level was heard above the assessed range amid tight supplies and ongoing restocking demand, but this could not be verified.

Formula-based offers were at premiums of $45/tonne to the CFR NE Asia price quote.

The **FOB NE Asia** price assessment was also unchanged as fixed-price discussions were absent.

Taiwan's Formosa Petrochemical Corp (FPCC) sold around 20,000 tonnes of November cargoes at discounts of around $30/tonne to the CFR NE Asia price quote.

The **CFR SE Asia** price assessment was rolled over, pending more market feedback as tight supplies curtailed discussions, even though demand was still heard for November cargoes.

Meanwhile, Thailand's PTT Global Chemical (PTTGC) issued a tender to sell a late-October loading cargo with bids due today. The final discussion was heard at around a $20/tonne discount to the CFR SE Asia price quote.

Weekly

Asia import markets

Spot deals and discussions concluded in week ended 9 October

Type#	Price ($/tonne)	Incoterms	Tonnes^	Date range
Spot deal	ICIS CFR NE Asia -10	FOB South Korea	1 lot	November loading
Offers/Selling Indications	1,280-1,320	CFR CMP/CFR NE Asia	-	October/November arrival
Offers/Selling Indications	ICIS CFR NE Asia + 40	CFR CMP/CFR NE Asia	-	October/November arrival
Bids/Buying indications	Around 1,250-1,280	CFR CMP/CFR NE Asia	-	October/November arrival
Bids/Buying indications	ICIS CFR NE Asia + 10-20	CFR CMP/CFR NE Asia	-	October/November arrival
Bids/Buying indications	No fixed-price indication heard	FOB NE Asia	-	October/November loading
Offers/Selling Indications	No fixed-price indication heard	FOB NE Asia	-	October/November loading
Offers/Selling Indications	ICIS CFR SE Asia + 20-40s	CFR SE Asia	-	October/November arrival
Offers/Selling Indications	1,260-1,290	CFR SE Asia	-	October/November arrival
Buying Indications	1,200-1,290	CFR SE Asia	-	October/November arrival

#Formula-basis deals are excluded from the price assessment

^Pressurized unless stated otherwise

*Excluded from assessed range

CFR NE Asia and CFR CMP

Import prices surged after China returned from the National Day holiday, tracking sharp gains in China's domestic market.

Firmer crude oil prices, coupled with tighter spot availability in China, strengthened bullish sentiment in the import market.

Amid the sharp price movements, participants generally preferred formula-based discussions over fixed-price negotiations.

However, as fixed-price buy and sell indications also increased, market participants also grew more cautious about formula-based discussions.

The high end of the range reflects prevailing selling interest, while the low end captures a buying indication.

FOB NE Asia

Attention shifted towards November-loading volumes, with more availability expected to emerge next week onwards after the trading week was shortened by regional holidays.

In the absence of fixed-price discussions, the assessment was adjusted in line with movements in the CFR NE Asia benchmark.

FOB South Korea

A South Korean producer sold one November-loading cargo via a tender at a discount of around $10/tonne to the CFR NE Asia price quote.

The producer is expected to offer additional volumes next week, while other producers are also considering spot sales due to weak downstream PP economics.

In the absence of fixed-price discussions, the FOB South Korea price assessment was adjusted in line with the CFR NE Asia benchmark.

CFR SE Asia

Offers/selling indications rose in the latter half of the week, tracking upstream cost pressures and gains in northeast Asia.

Discussions for November shipments to Thailand were heard, with deals concluded at premiums in the $40s/tonne to the CFR SE Asia price quote.

The high end captures an overlapping buy-sell indication.

Buying indications were heard in a wide range due to uneven downstream derivative performance and expectations.

The low end was pegged at the low end of the CFR NE Asia price range, as lower-priced material was not expected to be available amid tight regional supply and elevated upstream costs.

FOB SE Asia

One H2 October-loading Thai-origin cargo was sold via a tender. The concluded price could not be confirmed, although it was estimated at a discount in the $40s/tonne to the CFR SE Asia price quote.

No further Malaysia-origin cargoes were heard available this week after a producer sold two H1 October-loading cargoes two weeks ago.

November availability from the Malaysian producer remained uncertain, while the regional supply balance remained tight.

In the absence of fixed-price indications, the FOB SE Asia assessment was moved in line with the CFR SE Asia price assessment.

Contract prices in Taiwan

The latest provisional August price from a key producer is around $1,042/tonne DEL.

Click here for details.

Freight rates**

Freight cost ($/tonne)	Route	Cargo size (tonnes)
N/A	UAE/Saudi Arabia to SE Asia	5,000

N/A	UAE/Saudi Arabia to NE Asia	5,000
80-130	Intra-SE Asia	1,500 and above
85-105	Intra-NE Asia	1,500 and above
195-205	SE Asia to NE Asia	1,500 and above
195-205	NE Asia to SE Asia	1,500 and above

**According to market sources

Domestic China

Highlights

- Average domestic price rises above CNY10,000/tonne after the National Day holiday
- Surging crude, propane, methanol prices drive up production costs
- Haiwei halts sales, Wanhua's No 2 cracker nears maintenance, tightening supply further

Driven by high costs and tight supply, propylene prices in Shandong and east China exceeded yuan (CNY) 10,000/tonne after the National Day holiday (1-7 October).

Persistent geopolitical conflict kept concerns about feedstock supply disruptions in focus and continued to affect sentiment in chemical markets. Brent crude futures once rose to around $105/barrel, while propane and methanol prices surged, providing strong cost support to propylene prices.

Propylene producers held low inventories. Spot supply tightened further after Hebei Haiwei suspended propylene sales, Wanhua's No 2 cracker prepared to begin around 60 days of maintenance on 10 October, and methanol-to-olefins (MTO) operating rates declined.

Restocking demand emerged among buyers in Shandong on the first day after the holiday. Supported by bullish sentiment, most propylene auctions were concluded at premiums, and spot prices rose sharply from pre-holiday levels.

However, although prices of some downstream products also increased, the gains were limited compared with propylene prices. Rising cost pressure constrained buyers' ability and willingness to continue purchasing at higher prices.

On Friday, some integrated polypropylene (PP) producers in Shandong began selling propylene externally, cooling market sentiment. Supply and demand in east China remained weak, while low downstream operating rates kept spot trading thin.

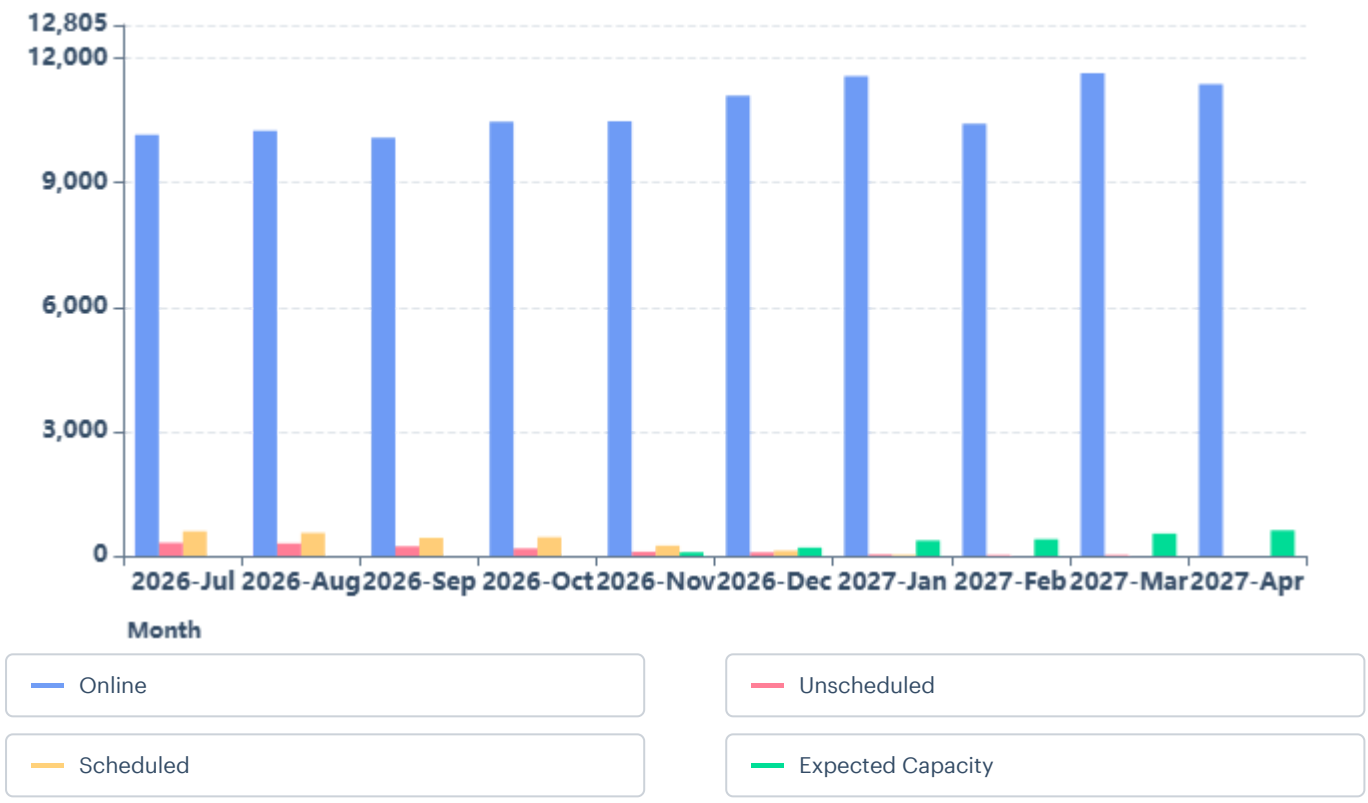
Supply and demand

AS OF 14 OCT 2026

Highlights

- Average PDH operating rate in China at 66.2% in late September
- China CTO/MTO run rates stable at 78%, but will decrease further in October
- Market balance depends on extent of downstream run cuts vs propylene production cuts

Capacity and shutdowns



Unit: '000 tonnes

Shutdowns

Location	Company	Site	Start	End	Plant No.	Cause	Capacity loss	Total annual capacity (kt)	Last updated
Malaysia	Lotte Chemical Titan	Pasir Gudang	15 Dec 2024 (Official)	16 Dec 2026 (Assumptions)	1	Scheduled	100% (est. 300.8 kt)	150	20 Jan 2026
South Korea	Hanwha Totalenergies Petrochemical	Daesan	01 Jan 2025 (Market information)	31 Dec 2026 (Market information)	2	Scheduled	50% (est. 230.0 kt)	230	23 Dec 2025
Indonesia	Pertamina	Balikpapan	12 Mar 2026 (Market information)	01 Apr 2027 (Market information)	1	Unscheduled	100% (est. 173.3 kt)	0	18 Sep 2026
Singapore	PCS PTE	Ayer Merbau	12 Mar 2026 (Market information)	29 Dec 2026 (Assumptions)	1	Unscheduled (Force Majeure)	100% (est. 216.7 kt)	270	17 Aug 2026
South Korea	LG Chem	Yeosu	23 Mar 2026 (Official)	12 Oct 2026 (Official)	3	Scheduled	100% (est. 251.5 kt)	450	09 Oct 2026
Iran	JAM Petrochemical	Asaluyeh (Pars Se/Ezone)	07 Apr 2026 (Market information)	16 Jan 2027 (Assumptions)	1	Unscheduled	100% (est. 238.2 kt)	305	10 Apr 2026
Vietnam	Long Son Petrochemical	Long Son	15 May 2026 (Official)	16 Dec 2026 (Assumptions)	1	Unscheduled	100% (est. 236.7 kt)	400	23 Apr 2026
China	Sinopec Hainan PC	Yangpu	07 Jun 2026 (Market information)	23 Oct 2026 (Market information)	2	Scheduled	100% (est. 190.4 kt)	500	28 Sep 2026
China	Tianjin Bohai Chem. Group	Tianjin	20 Aug 2026 (Market information)	31 Oct 2026 (Assumptions)	2	Scheduled	100% (est. 60.0 kt)	300	20 Aug 2026
China	CNOOC and Shell PC	Huizhou	01 Sep 2026 (Market information)	20 Oct 2026 (Assumptions)	1	Scheduled	100% (est. 73.3 kt)	535	30 Sep 2026
China	Sinopec Anqing PC Co	Anqing	05 Sep 2026 (Market information)	31 Oct 2026 (Market information)	2	Scheduled	100% (est. 46.8 kt)	300	23 Sep 2026
Japan	Idemitsu Kosan	Tokuyama	09 Sep 2026 (Market information)	12 Nov 2026 (Market information)	1	Scheduled	100% (est. 19.6 kt)	110	30 Sep 2026
China	Oriental Energy	Ningbo	15 Sep 2026 (Market information)	29 Oct 2026 (Market information)	1	Unscheduled	100% (est. 81.4 kt)	660	20 Sep 2026
South Korea	Hyosung	Ulsan	15 Sep 2026 (Market information)	15 Oct 2026 (Market information)	2	Scheduled	100% (est. 25.5 kt)	300	28 Aug 2026
China	Dongguan Grand Resource Science and Tech	Dongguan	16 Sep 2026 (Market information)	31 Oct 2026 (Assumptions)	1	Scheduled	100% (est. 75.6 kt)	600	30 Sep 2026
Japan	Eneos Corporation	Mizushima	16 Sep 2026 (Market information)	11 Nov 2026 (Market information)	2	Scheduled	100% (est. 14.5 kt)	93	25 Nov 2025

Location	Company	Site	Start	End	Plant No.	Cause	Capacity loss	Total annual capacity (kt)	Last updated
China	Zhenhua Petrochemical	Dongying	17 Sep 2026 (Market information)	21 Oct 2026 (Market information)	1	Scheduled	100% (est. 71.9 kt)	750	18 Sep 2026
China	Fund Energy (Ningbo)	Ningbo	19 Sep 2026 (Market information)	25 Oct 2026 (Assumptions)	1	Unscheduled	100% (est. 30.4 kt)	300	21 Sep 2026
China	Quanzhou Grand Pacific Chemical	Quanzhou	25 Sep 2026 (Market information)	19 Oct 2026 (Market information)	1	Scheduled	100% (est. 45.2 kt)	660	29 Sep 2026
Saudi Arabia	Al-waha Petrochemical	Al Jubail	01 Oct 2026 (Market information)	12 Nov 2026 (Market information)	1	Scheduled	100% (est. 54.2 kt)	460	06 Oct 2026
South Korea	HD Hyundai Oilbank	Daesan	01 Oct 2026 (Market information)	03 Oct 2026 (Market information)	1	Unscheduled	100% (est. 3.3 kt)	400	02 Oct 2026
China	Levima Gerun (Shandong) New Material	Tengzhou	09 Oct 2026 (Market information)	30 Oct 2026 (Assumptions)	1	Scheduled	100% (est. 13.3 kt)	220	13 Oct 2026
China	Wanhua Petrochemical (Yantai)	Yantai	10 Oct 2026 (Official)	08 Dec 2026 (Official)	3	Scheduled	100% (est. 82.2 kt)	500	09 Oct 2026
Taiwan	Formosa Petrochemical	Mai Liao	14 Oct 2026 (Market information)	16 Jan 2027 (Market information)	2	Scheduled	100% (est. 135.3 kt)	520	05 Oct 2026
South Korea	Korea Petrochemical Ind.	Onsan	15 Oct 2026 (Market information)	28 Nov 2026 (Market information)	1	Scheduled	100% (est. 56.7 kt)	460	31 Aug 2026
South Korea	LG Chem	Yeosu	23 Oct 2026 (Market information)	31 Dec 2026 (Market information)	1	Scheduled	100% (est. 111.2 kt)	580	16 Sep 2026
Thailand	Map Ta Phut Olefins	Map Ta Phut	04 Nov 2026 (Market information)	03 Dec 2026 (Market information)	1	Scheduled	100% (est. 41.1 kt)	500	14 Aug 2026

Capacity changes

Location	Company	Site	Plant No.	Type	Estimated start	New annual capacity (kt)	Capacity change (kt)	% Change	Last updated
China	Petrochina Fushun PC	Fushun	3	Expansion	Oct 2026	450 ▲	50	12.50%	26 Jan 2025
China	Sabic Gulei Petrochemicals	Gulei	1	New Plant	Oct 2026	1020 ▲	1020	100.00%	27 Apr 2026
China	Sinopec Zhenhai Ref and Chem	Zhenhai	5	New Plant	Nov 2026	600 ▲	600	100.00%	12 May 2026
India	Haldia PC	Haldia	2	New Plant	Nov 2026	117 ▲	117	100.00%	21 Aug 2026
India	Hpcl Rajasthan Refinery	Pachpadra (Barmer)	2	New Plant	Nov 2026	565 ▲	565	100.00%	25 May 2026
China	China Coal Shaanxi Yulin Energy&chemical	Yulin	2	New Plant	Dec 2026	350 ▲	350	100.00%	06 Jan 2026
China	Inner Mongolia Rongxin Chemical	Ordos City	1	New Plant	Dec 2026	400 ▲	400	100.00%	29 Jun 2026
China	Zhejiang Yuanjin New Material	Shaoxing	1	New Plant	Dec 2026	750 ▲	750	100.00%	28 Jul 2026
China	Guangxi Huayi Energy Chemical	Qinzhou	1	New Plant	Dec 2026	500 ▲	500	100.00%	08 Oct 2026
China	Wanhua Petrochemical (Yantai)	Yantai	3	Permanent Closure	Jan 2027	0 ▼	-500	-100.00 %	12 Oct 2026
Russian Federation	Amur GCC	Svobodny	1	New Plant	Jan 2027	400 ▲	400	100.00%	17 Oct 2025
Saudi Arabia	Al-waha Petrochemical	Al Jubail	1	Expansion	Jan 2027	537 ▲	77	16.74%	13 Nov 2024
Saudi Arabia	Natpet	Yanbu	2	New Plant	Jan 2027	600 ▲	600	100.00%	29 Sep 2023
Taiwan	Formosa Petrochemical	Mai Liao	3	Reduction	Jan 2027	400 ▼	-200	-33.33%	18 Sep 2026
India	G.a.i.l. India	Usar	1	New Plant	Feb 2027	600 ▲	600	100.00%	15 May 2026
China	Ningxia Baofeng Energy	Ningdong	5	New Plant	Feb 2027	500 ▲	500	100.00%	13 Nov 2025
India	Hpcl Rajasthan Refinery	Pachpadra (Barmer)	1	New Plant	Mar 2027	400 ▲	400	100.00%	25 May 2026
South Korea	S-oil Corp.	Onsan	4	New Plant	Mar 2027	770 ▲	770	100.00%	14 Oct 2026
China	Shenhua Baotou Coal Chem. Industry	Baotou	2	New Plant	May 2027	350 ▲	350	100.00%	10 Oct 2026
China	Huajin Aramco Petrochemical	Panjin	1	New Plant	May 2027	550 ▲	550	100.00%	14 Oct 2026
Russian Federation	Lukoil Permnefteorgsynt.	Perm	1	New Plant	Jul 2027	300 ▲	300	100.00%	13 Oct 2026

Location	Company	Site	Plant No.	Type	Estimated start	New annual capacity (kt)	Capacity change (kt)	% Change	Last updated
China	Huajin Aramco Petrochemical	Panjin	2	New Plant	Jul 2027	700 ▲	700	100.00%	14 Oct 2026
China	Qingyang Tongxin Petroleum Technology	Qingyang	1	New Plant	Jul 2027	100 ▲	100	100.00%	12 May 2026
Russian Federation	Zapsibneftekhim	Tobolsk	2	New Plant	Jul 2027	550 ▲	550	100.00%	18 Nov 2025
China	SP Chemicals (Taixing)	Taixing	1	New Plant	Oct 2027	800 ▲	800	100.00%	05 Jan 2026
China	Hebei Xinhai Group	Cangzhou	1	New Plant	Oct 2027	220 ▲	220	100.00%	07 Feb 2025

Value chain commentary

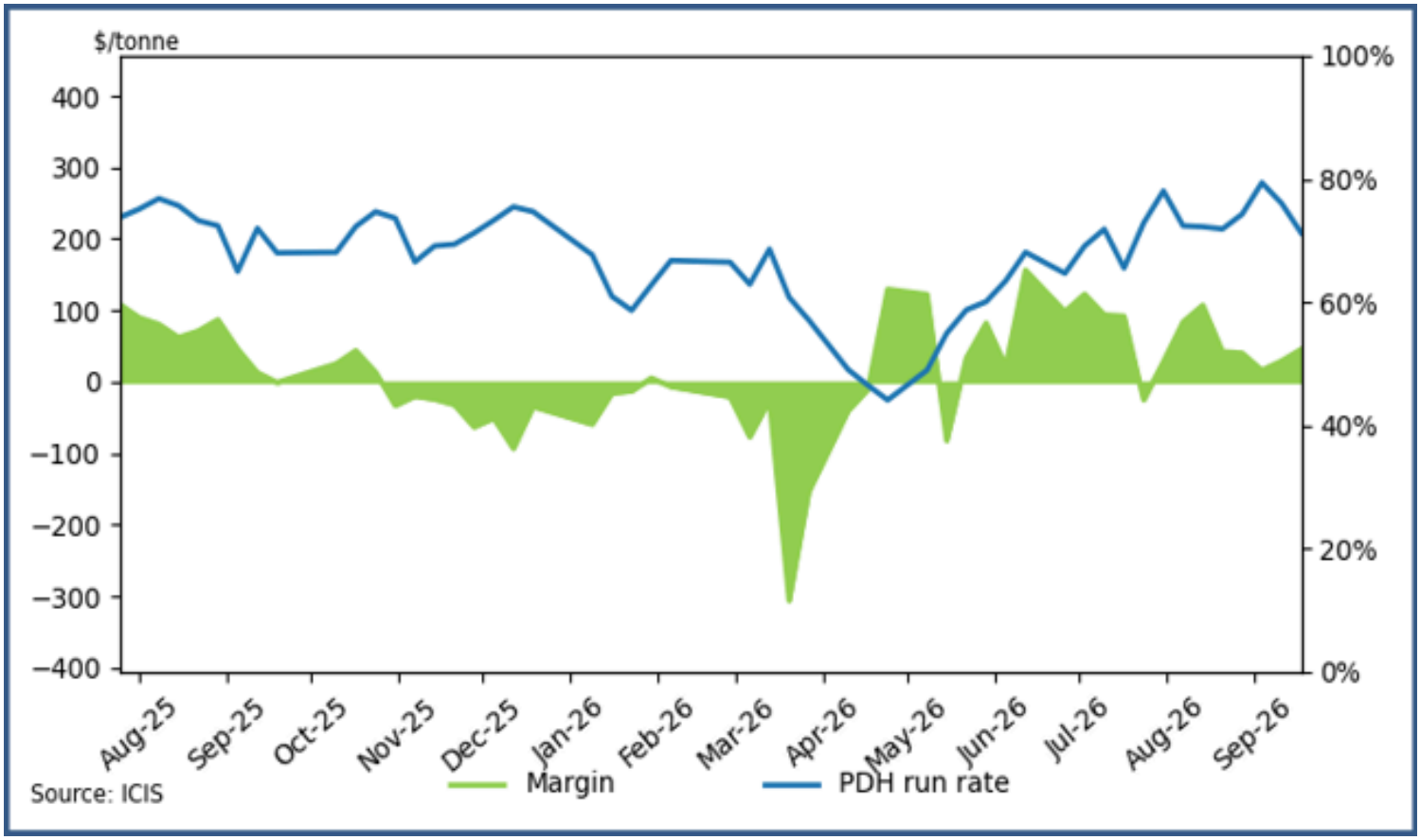
Upstream

Click here for the Asia feedstocks and petrochemicals weekly summary.

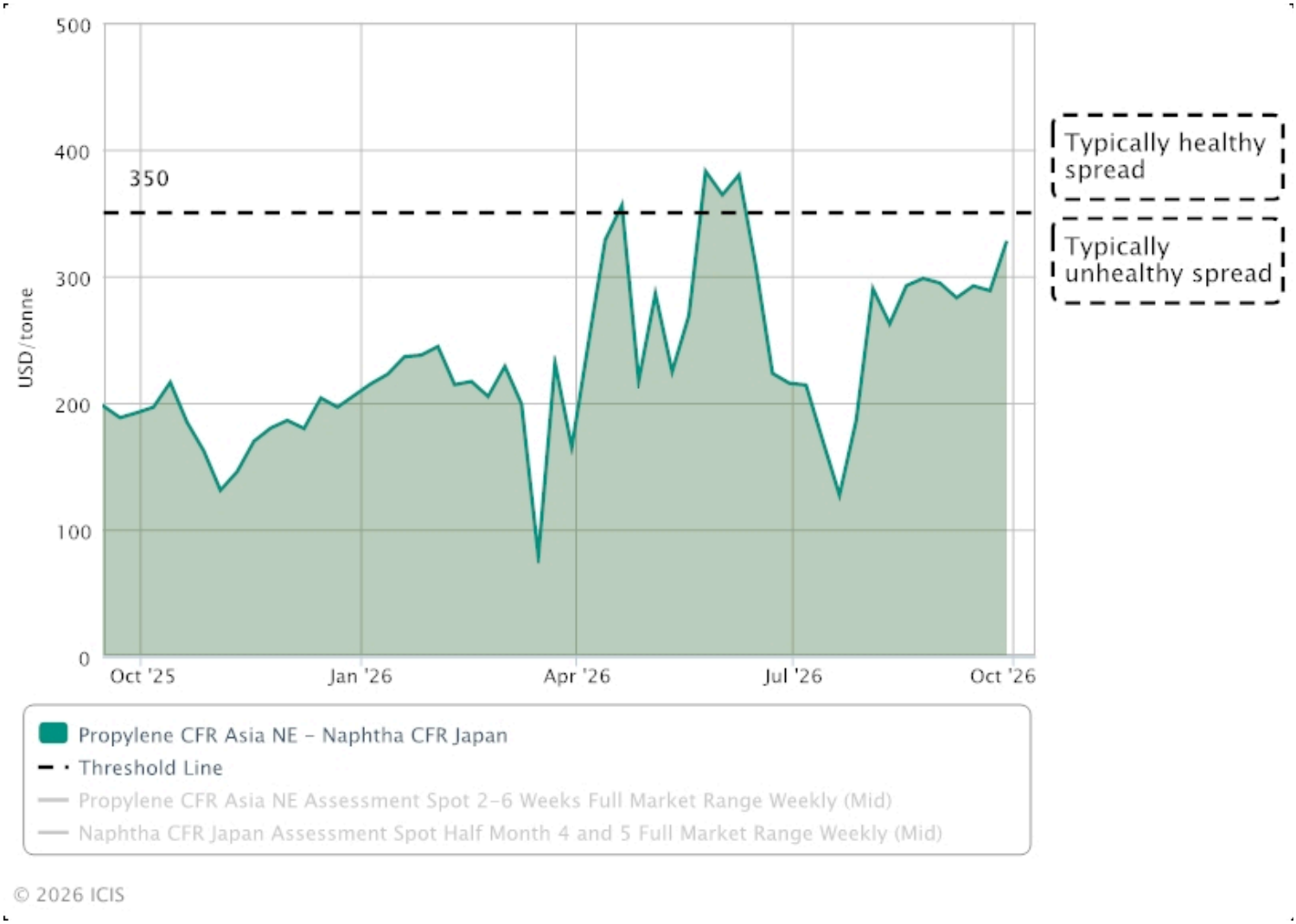
Propane

The average run rate at PDH units in China was at 66.2% on 29 September, ICIS data shows.

China PDH run rate and margin



Feedstock spread – Naphtha and Propylene NE Asia



Downstream

Price movements across the propylene derivative chain were mixed in response to firmer upstream cost pressures.

For **polypropylene (PP)**, prices in China rose alongside the surge in propylene values, but the pace of the cost pass-through downstream remained slow, leaving margins still squeezed. This bullish mood in China was against the expectation of southeast Asian buyers, who had earlier anticipated that an inventory build-up would make Chinese suppliers more negotiable over prices. Buyers struggled to keep up with the sudden surge in prices, with weak end-product demand weighing heavily on buying sentiment.

The downtrend in the **oxo-alcohols** markets persisted despite firmer propylene costs, with participants attributing the weakness to increased supply despite some demand from the downstream plasticizer sector. Further downward pressure came from expectations of additional supply, with a new n-butanol unit from China's Wanhua Chemical expected to come on stream during the quarter.

The **acrylic acid and acrylates** markets continued to weaken amid ample supply. Demand in southeast Asia was also dampened by widespread flooding, while buying interest in India turned more subdued as participants held sufficient inventories to meet requirements through the peak Diwali season.

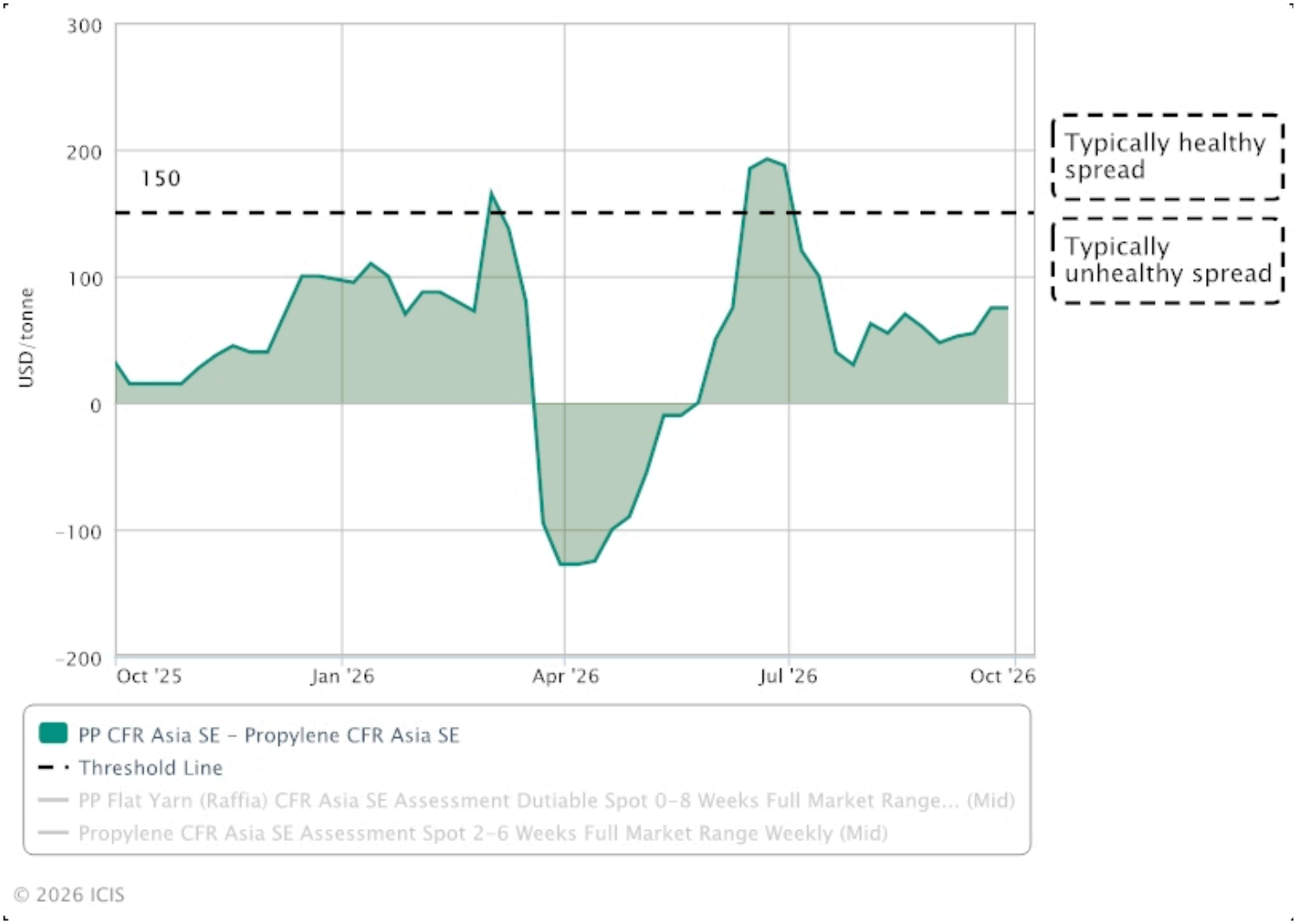
The Asian **acetone** market found support from higher feedstock costs and tighter inventories, particularly in southeast Asia. China's domestic market was mixed, reflecting competing pressures from tight supply and weak downstream demand.

In the **propylene oxide (PO)** market, both elevated polyols and feedstock costs supported market sentiment. While China's domestic prices also rose, import market discussions remained thin.

The Asia **acrylonitrile (ACN)** market held steady as a large buy-sell gap persisted due to higher upstream costs and low derivative demand. Trade discussions in India were on hold while players sought clarity on import permit notification.

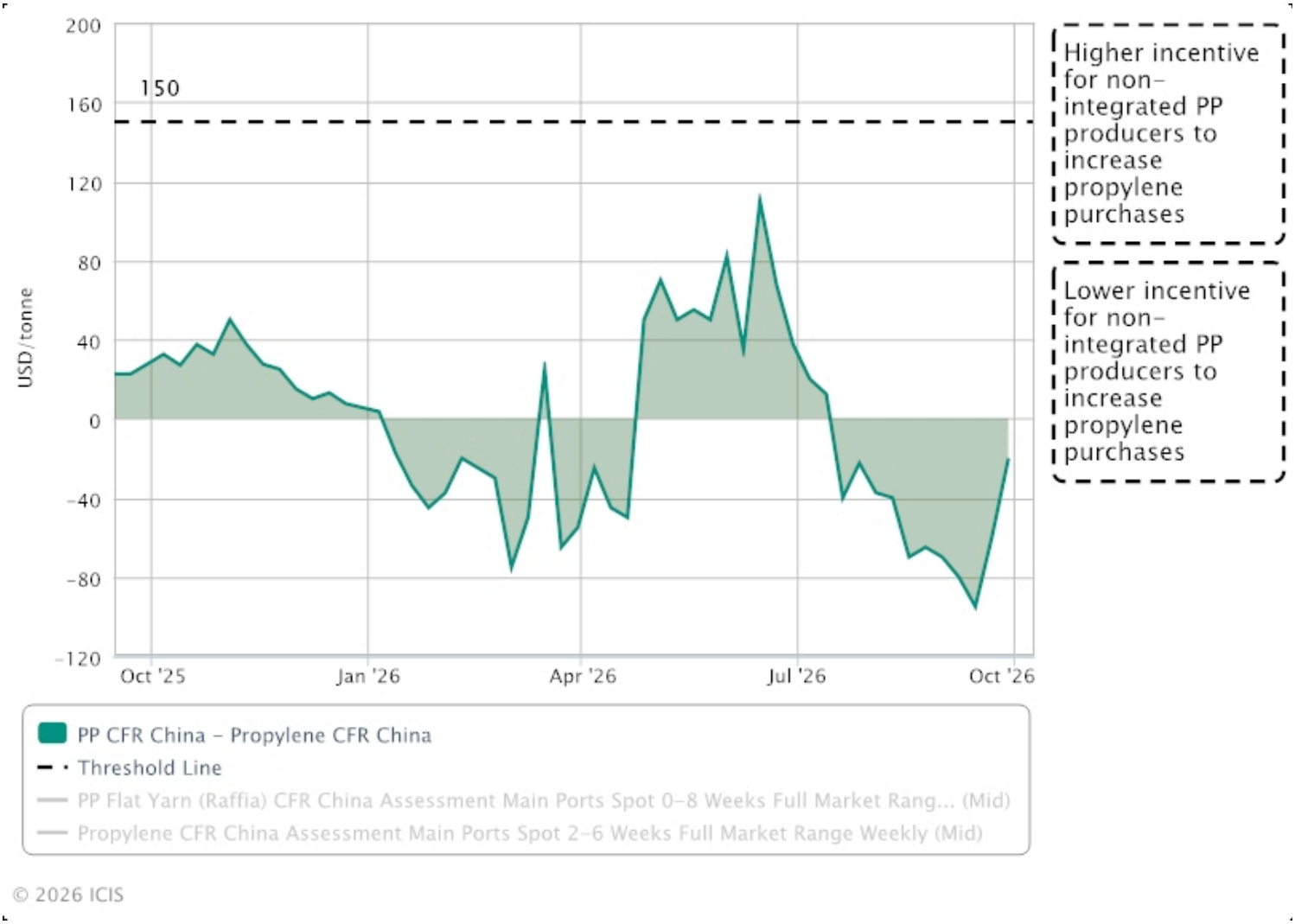
Click here to view upstream and downstream spread charts.

Downstream Spread - Propylene and PP SE Asia



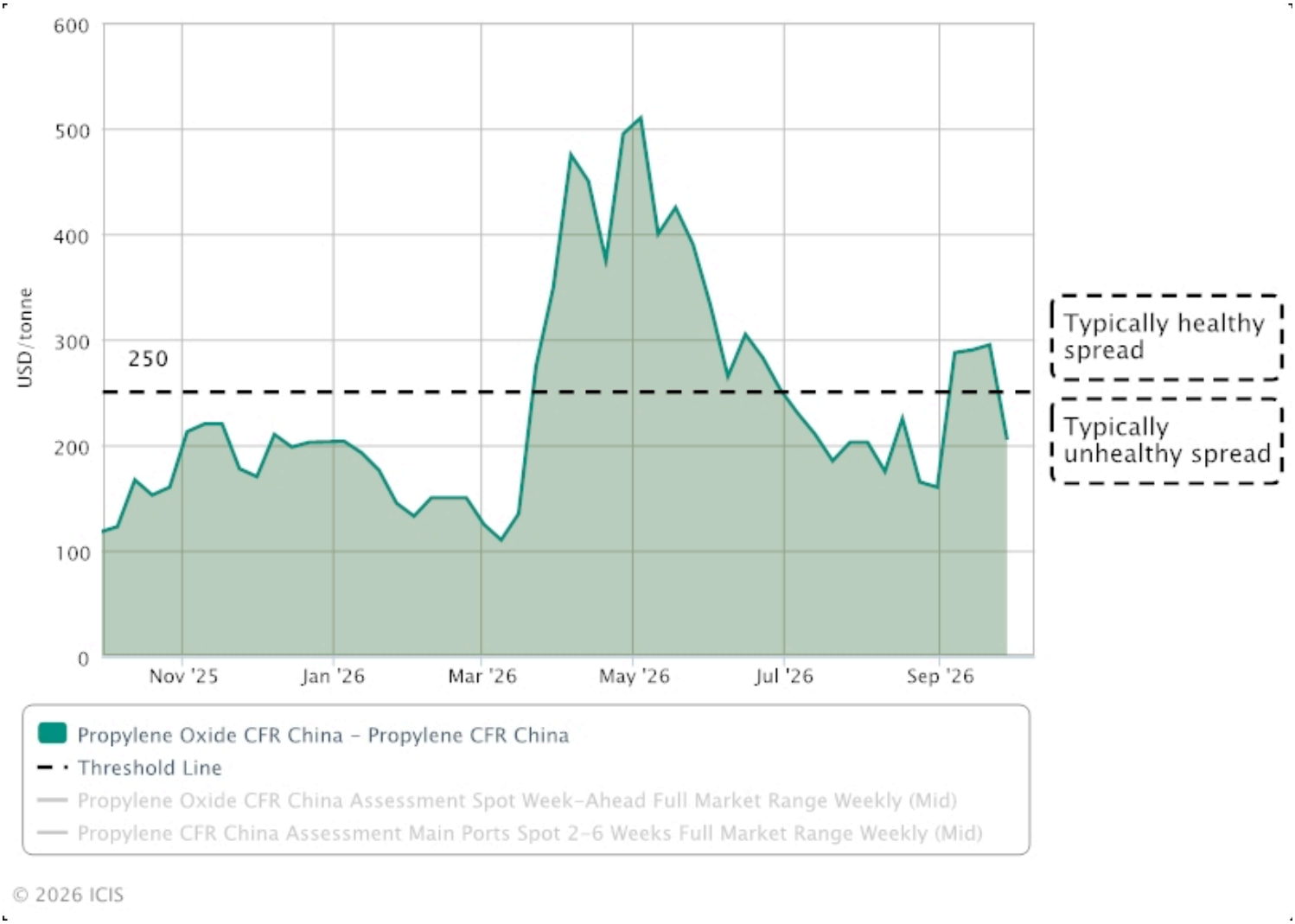
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Downstream Spread - Propylene and PP China



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Downstream Spread - Propylene and PO China

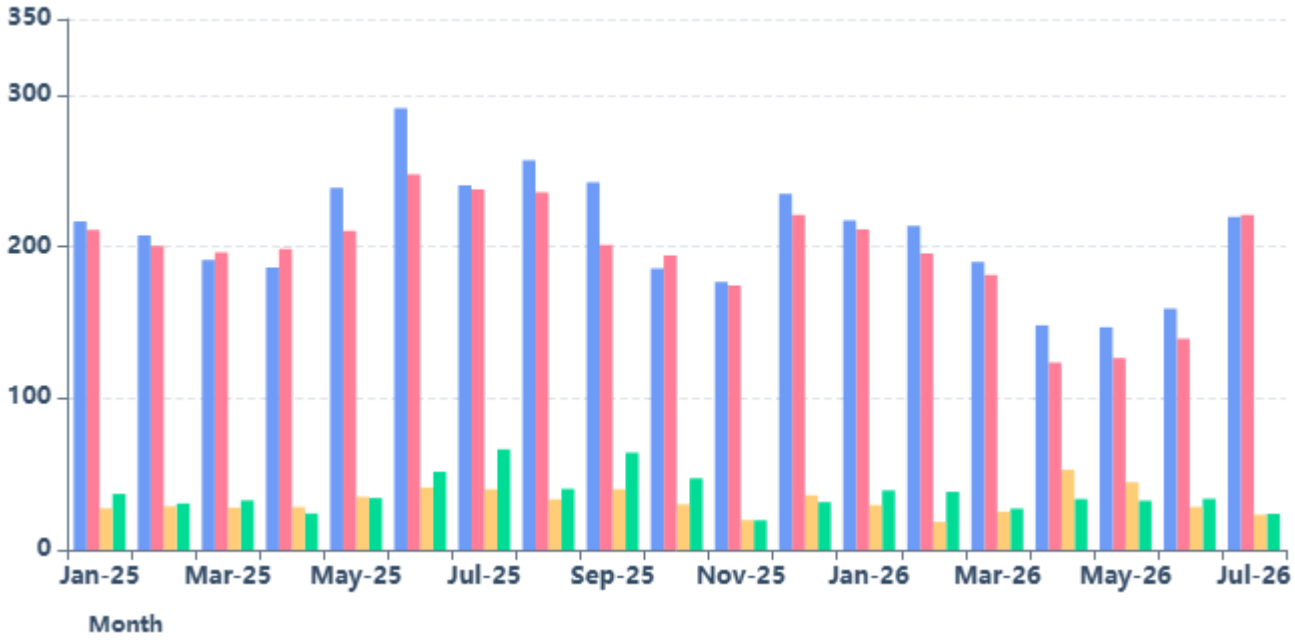


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Trade balance

AS OF 2 OCT 2026

Asia Propylene Trade



Unit: 000'tonne

North East Asia Imports (kt)

North East Asia Exports (kt)

South East Asia Imports (kt)

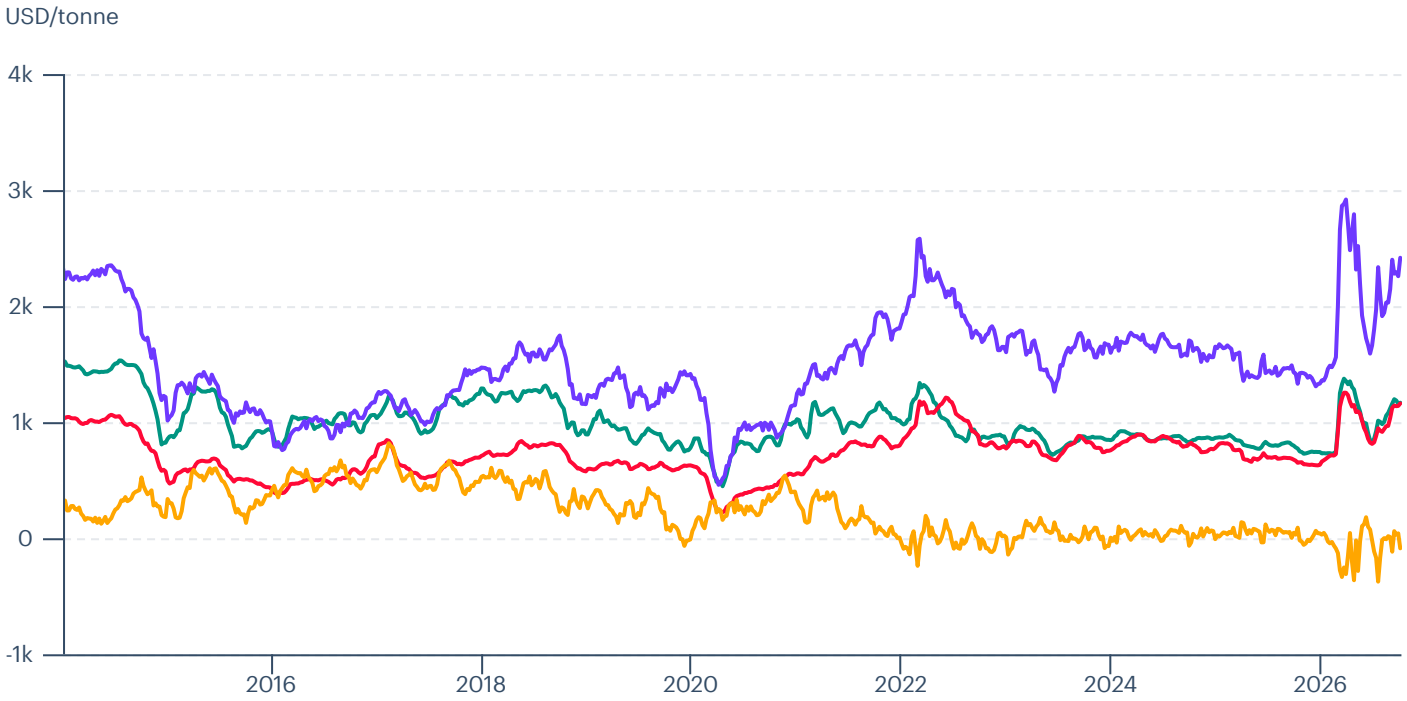
South East Asia Exports (kt)

Note: 1. Northeast Asia - China, South Korea, Japan and Taiwan market; Southeast Asia - Indonesia, Malaysia, the Philippines, Singapore and Thailand.

2. Philippine exports use partner-country mirror data as a proxy.

Margins

AS OF 9 OCT 2026



- Main product value
- Co-product credits
- Total input costs
- Variable margin
- Variable costs, main product

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